

Address to the PSCBC Strategic Planning Session

On behalf of COSATU's JMC (DENOSA, NEHAWU, POPCRU and SADTU)

Chairperson / Programme Director,

As we stand on the existing protocol, allow me to extend salutations:

The Minister of the DPSA, Hon Nkosi Mzamo Buthelezi; The Acting Director-General of the DPSA, Mr Willie Vukela;

The Chairperson of the PSCBC, Mr Magate Phala;

The General Secretary, Mr Frikkie de Bruin;

The two Vice-Chairpersons, Ntate Jones Galorale and Ntate David Phala;

The leadership of parties in Council;

Our guests, negotiators, and every delegate present.

Kindly receive our revolutionary greetings on behalf of COSATU's JMC, comprising DENOSA and its acting-together parties: NEHAWU, POPCRU, and SADTU.

Chairperson, we are here today to express our full and unwavering support for this Strategic Planning Session.

It has been some time since the parties converged in this manner. That fact alone means this session must do two things with equal seriousness:

- 1) Review the cumulative work of the Council and what it has delivered.
- 2) Craft a clear roadmap for the next phase: align the PSCBC programme, focus resources, strengthen implementation, and anticipate risks before they become disputes.

If we speak of good governance, then the process must model it: transparent, participatory, and collaborative. Because credibility is not declared; it is earned through conduct and delivery.

Chairperson, the theme you have chosen is neither fashionable nor a slogan; it is necessary. It is a call to action:

“Collective bargaining in the digital era: building trust, managing disputes, and ensuring good governance.”

This theme recognises a central truth: the PSCBC is not a side meeting of the State. It is a strategic democratic institution, a stabiliser of labour relations, a shield against unilateralism, and a pillar of policy certainty.

But we must be frank: the terrain has shifted.

Technology is changing how we work, how we organise, and how disputes arise.

Global instability is reshaping prices, budgets, and policy choices.

And too often, when crises erupt, there is a familiar attempt to shift the burden downward, onto workers. We see this in moratoria on employment, unsustainable workloads for workers, and austerity measures.

That is why this session matters: collective bargaining in the digital era must be designed, not left to drift.

Chairperson, let us speak about the economic reality that frames every negotiation: inflation and the cost of living.

Headline inflation has eased, but workers do not live on ‘headline’ numbers. They live where pressure is real: food, transport, school costs, and administered prices.

Now, Chairperson, let us place a specific public service burden on the table: medical aid.

GEMS has imposed a 9.8% increase in member contributions, implemented from January 2026, and this comes after steep increases already experienced in recent years.

So let us name the contradiction:

When inflation is low, why are essential costs rising so far above it?

When CPI eases, why does healthcare cost escalation keep running ahead?

Chairperson, that is not a statistic. That is wage erosion. Because when essential costs rise far above inflation, the worker’s real income shrinks even if the payslip looks unchanged.

Allow me to add the macroeconomic context that sits behind every wage round and every dispute.

First: monetary policy and interest rates. Inflation may be lower, but borrowing costs and household debt pressures remain real. The repo rate remains a key factor shaping consumption, investment, and the cost of life.

Second: the fiscal outlook. The State is operating under real constraints: debt, deficits, and competing priorities. And we hear, more and more, the language of headcount controls and compensation 'discipline'. Chairperson, that language has meaning in the lived world: it translates into wage pressure.

Third: the growth drivers. Consumption has helped support recent growth, but investment has been weak and uneven. Without stronger investment and productive capacity, growth remains fragile.

Fourth: productivity. If we want sustained growth, the answer cannot be wage suppression. The answer must be productivity, investment, skills, and system efficiency.

So this is the macroeconomic truth: low inflation and moderate growth can open space, but if that space is filled with wage restraint, headcount ceilings, and rising administered costs, then we get 'stability' on paper while households destabilise in reality. And that is how disputes are manufactured.

Chairperson, to understand wage suppression today, we must place it in our country's history.

Wage suppression in South Africa did not begin as an accident of markets; it was engineered as a system. The migrant labour system was used to secure cheap labour for mines and cities, while restricting permanent settlement and family life. Law and policy were used to control workers' movement, residence, and organising power.

The workplace was also governed by discrimination: the colour bar, job reservation, and wage differentiation that kept most Black workers out of skilled, better-paid work.

In other words, wage suppression was about power: who may work, where they may live, and what rights they may claim.

After 1994, we won fundamental labour rights and collective bargaining. But a modern form of wage suppression emerged, not through pass laws, but through macroeconomic ceilings.

We have seen periods where deficit reduction and tight monetary policy became a justification for restraint. We have seen how inflation targets can become a 'ceiling' in bargaining, even when essential costs outrun that ceiling. And we have seen how, in times of crisis, the easiest 'adjustment variable' becomes workers' incomes.

Chairperson, from a Marxist perspective, we must name the pattern: inflation targets and fiscal ceilings can become instruments of wage discipline. The narrative becomes, 'Workers must moderate,' while other costs rise unchecked.

And the labour market structure intensifies this. High unemployment and mass youth unemployment create a permanent pressure towards wage restraint. That is not neutral. That is structural power working against labour.

We do not raise these realities to deny fiscal facts. We raise them to insist on fairness.

Because wage restraint is presented as 'prudence,' while medical aid is 9.8%, and other administered costs rise. That is not prudence. That is displacement.

Collective bargaining must remain a mechanism to share burdens fairly and not a pipeline to shift burdens downward. You cannot balance macroeconomic books by unbalancing workers' lives.

Chairperson, these domestic pressures are intensified by global shocks. Tariff escalations disrupt supply chains and raise costs. War and energy supply risks raise fuel and transport costs. These shocks filter into our economy and hit workers' pockets first.

The theme gives us the solution pillars: trust, disputes, and governance and updated for the digital era.

First: building trust.

Trust is not an emotion; it is an institutional architecture. We must recommit to bona fide engagement, good faith bargaining that rejects ambush tactics, avoids brinkmanship, and honours timelines.

In the digital era, trust requires information symmetry (one credible data foundation), digital transparency (clear tracking of commitments), and integrity of communication and technology as a tool for clarity, not confusion.

Second: managing disputes.

Disputes are not failure; poorly managed disputes are. We need early-warning mechanisms,

time-bound dispute pathways, and digital case management to track compliance and implementation.

Third: good governance.

Good governance means ethics, consequence management, clean administration, cybersecurity and data protection, and audit trails that make implementation verifiable. Agreements must not only be signed; they must be honoured, tracked, and delivered.

Chairperson, we agree: the digital era must not scare us; it must sharpen us.

Digital tools can strengthen collective bargaining, algorithms can analyse data and faster consultation, better data, and stronger implementation monitoring. But we must also guard against digital dangers: surveillance, algorithmic control, and exclusion where access and skills are unequal. Technology must improve work and not diminish dignity. Technology cannot show affection to fellow employee who is overwhelmed and overworked. Algorithm can stand in solidarity with fellow employees but employees themselves. It can't replace a nurse, police, cleaner, teacher, etc.

[Pause] [Crescendo start] [Slow]

Chairperson, the PSCBC carries a proud record. The task now is to use lessons of the past to build a stronger future, where collective bargaining remains credible, agile, principled, and effective.

On behalf of COSATU's JMC: DENOSA, NEHAWU, POPCRU, and SADTU, we pledge our full support to this strategic planning process.

We will engage constructively, firmly, and in good faith, because the strength of the PSCBC is the strength of labour stability in the State.

As we close, we must say it without hesitation: workers cannot be told to accept 'inflation discipline' while essential costs rise far above inflation, including the 9.8% medical aid increase. That contradiction is exactly why collective bargaining must be protected, strengthened, and modernised so that fairness is not a promise, but a practice.

We thank the PSCBC team for its dedication to building a stronger, more resilient, more effective Council. We look forward to the collective outcomes that will emerge from this engagement.

FORWARD TO DEFENDING COLLECTIVE BARGAINING!

FORWARD TO DECENT WORK AND A CAPABLE DEVELOPMENTAL STATE!

Remember: history will judge us not by what we said or resolved, but by what we chose to fund and what we valued.

Did we value fiscal policy over public servants and the people they serve?

Did we fund health, education and transformation?

Did we fund technology over nurses, security personnel or teachers?

AMANDLA!